

in their opposition, “the FAC specifically alleges Plaintiffs have direct Claims against Defendant as subordinate junior lienholders as judgment creditors as well as derivative Claims on behalf of Key Island ...” (Oppo. pp. 3-4.) Thus, plaintiffs concede that their standing is dependent on their status as junior lienholder based on their judgment against Mikles. They do not dispute that the appellate decision eviscerates their standing in this action.

A lien therefore cannot exist apart from the judgment upon which it is based. Thus, in the ordinary course of events when the judgment is vacated by court order the lien will also cease to exist, because the effect of a vacating order is to eliminate the judgment. (*Lantz v. Vai* (1926) 199 Cal. 190, 193 [248 P. 665].) Once vacated, the status of the parties that existed prior to the judgment is restored and the situation then prevailing is the same as though the order or judgment had never been made. (*Sherwin v. Southern Pacific Co.* (1914) 168 Cal. 722, 724 [145 P. 92].) (*Bulmash v. Davis* (1979) 24 Cal.3d 691, 697.)

Capital Fund's only response in the opposition is to point out that remittitur has not yet issued – “Until remittitur issues, the lower court cannot act upon the reviewing court's decision; remittitur ensures in part that only one court has jurisdiction over the case at any one time.” (*Gallenkamp v. Superior Court* (1990) 221 Cal.App.3d 1, 12.)

While it is correct that the Orange County Superior Court cannot act upon the appellate decision until remittitur issues, this principle does not resurrect Capital Fund's alleged basis for legal standing. Whichever court has jurisdiction over the Orange County Case at this moment, it is clear that plaintiffs have no judgment giving them status as junior lienholder.

“Standing is a threshold issue, because without it no justiciable controversy exists.” (*Iglesia Evangelica Latina, Inc. v. Southern Pacific Latin American Dist. of the Assemblies of God* (2009) 173 Cal.App.4th 420, 445.) “[L]ack of standing may be raised by demurrer or at any time in the proceeding, including at trial or in an appeal.” (*Troyk v. Farmers Group, Inc.* (2009) 171 Cal.App.4th 1305, 1345, quoting *Buckland v. Threshold Enterprises, Ltd.* (2007) 155 Cal.App.4th 798, 813.)

As plaintiffs have lost their standing, the demurrer must be sustained. No leave to amend is granted because plaintiffs have suggested no way in which they might assert any claim against Bmark without junior lienholder status.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: KCK on 06/22/26
(Judge's initials) (Date)

(34)

Tentative Ruling

Re: ***Seaberg v. Specific Properties, LLC, et al.***
Superior Court Case No. 20CECG00012

Hearing Date: June 23, 2026 (Dept. 501)

Motion: by Defendants' for Charging Order

Tentative Ruling:

To grant defendants' Robert E. Ellis, Stephen D. Long and John S. Foggy's motion for a charging order against plaintiff/cross-defendant Jeffrey Seaberg's interest in Seaberg Construction, LLC. (Code Civ. Proc. § 708.310; Corp. Code § 17705.03.)

Explanation:

Under Code of Civil Procedure section 708.310, "If a money judgment is rendered against a partner or member but not against the partnership or limited liability company, the judgment debtor's interest in the partnership or limited liability company may be applied toward the satisfaction of the judgment by an order charging the judgment debtor's interest pursuant to Section 15907.03, 16504, or 17705.03 of the Corporations Code." (Code Civ. Proc., § 708.310.)

In addition, under Corporations Code section 17705.03, "On application by a judgment creditor of a member or transferee, a court may enter a charging order against the transferable interest of the judgment debtor for the unsatisfied amount of the judgment. A charging order constitutes a lien on a judgment debtor's transferable interest and requires the limited liability company to pay over to the person to which the charging order was issued any distribution that would otherwise be paid to the judgment debtor." (Corp. Code, § 17705.03, subd. (a).)

Here, Jeffrey Seaberg together with John S. Foggy and Robert E. Ellis formed Specific Properties, LLC. Seaberg has received a money judgment against him in favor of Foggy, Ellis, and Long in the amount of \$627,046.31 with 10% interest accrual rate per annum. (Cuttone Decl., ¶ 2; RJN, Ex. 1.) The judgment includes an award of costs to Foggy, Ellis, and Long in the amount of \$56,714.19 as prevailing parties on the Seaberg's derivative complaint. (Long Decl., ¶ 4; Ellis Decl., ¶4; Cuttone Decl., ¶ 2, RJN, Ex. 1.) Seaberg does not dispute that the judgment is unpaid and defendants and cross-complainants are entitled to an order charging Seaberg's interest in Specific Properties, LLC. Seaberg raises several errors in the proposed order and indicated the proposed order fails to account for the pending appeal of the costs award portion of the judgment. In reply, defendants submit an amended proposed charging order incorporating the corrections proposed by Seaberg. With respect to the pending appeal, Seaberg has not given an undertaking to stay enforcement of the money judgment while the appeal is pending. (Code Civ. Proc., § 917.1, subd. (a)(1).) Moreover, defendants have demonstrated there is no risk of overpayment in the event the award of costs is reversed. (Ellis Reply Decl., ¶ 4.)

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Issued By: KCK on 06/22/26.
(Judge's initials) (Date)